

M/s Rukmani Ferro Pvt. Ltd. v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Ors.

High Court of Judicature at Allahabad · Division Bench · 20 July 2011 · WRIT - C No. - 55365 of 2009 · **Writ petition disposed of without interference. The challenge to the provisional assessment notice dated 22 September 2009 under Section 126(2) of the Electricity Act, 2003 was held premature; the petitioner was given liberty to file a detailed objection within fifteen days, which the competent authority must decide by a reasoned order dealing with each objection (including the objection to the competence to issue the notice) after fixing a date of hearing, no opinion being expressed on the merits. The apprehension of coercive action was held misconceived as only a provisional assessment had been made.**

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HEADNOTE

On a consumer's writ petition challenging a provisional assessment notice dated 22 September 2009 issued under Section 126(2) of the Electricity Act, 2003 (assessing Rs. 2,87,74,109 for alleged unauthorised use, following an eleven-member inspection and a meter examination), the Allahabad High Court declined to interfere and disposed of the petition by relegating the consumer to the statutory objection process. It held that a challenge to a merely provisional assessment is premature: the notice itself afforded an opportunity to reply, and it was open to the consumer to file a detailed objection raising all its pleas — including want of jurisdiction and non-compliance with the U.P. Electricity Supply Code, 2005 — which the competent authority could then modify, confirm or discharge; it was 'not the stage for this Court to enter into various issues raised by the parties.' The Court granted liberty to file objections within fifteen days and directed the competent authority to fix a date of hearing and pass a reasoned decision dealing with each objection, including the objection to the very competence to issue the notice, while expressing no opinion on the merits. It further held that, the assessment being only provisional, there was no occasion for any coercive action until a final assessment was made, so the consumer's apprehension of coercion was misconceived and no interim protection was warranted. The petitioner's reliance on *Ashok Kumar v. State of U.P.* (opportunity before concluding unauthorised use) and on Paragraph 5.6 of the Supply Code (right to independent meter testing, per *Amrawati Devi*) was left to be urged before, and decided by, the authority.

FACTUAL SUMMARY

M/s Rukmani Ferro Private Limited held a 3000 KVA electric connection under the HV category from Dakshinanchal Vidyut Vitran Nigam Ltd. Following an inspection on 4 September 2009 by an eleven-member team and a meter examination (M.R.I.) on 19 September 2009, the Nigam issued a provisional assessment notice dated 22 September 2009 under Section 126(2) of the Electricity Act, 2003, assessing Rs. 2,87,74,109 and stating that if the consumer did not reply within one week the provisional assessment would be treated as final. The consumer filed Writ - C No. 55365 of 2009 before the Allahabad High Court seeking to quash the notice, to declare the sealing certificate dated 4 September 2009 invalid and non-est, and to restrain coercive action against it. On 28 October 2009 the Court, relying on the Division Bench decision in *Amrawati Devi v. Purvanchal Vidyut Vitaran Nigam*, stayed the assessment proceedings; the Nigam's Special Leave to Appeal (Civil) No. 3406 of 2010 was dismissed by the Supreme Court on 19 February 2010, with an observation that any application to vacate the interim order be disposed of at the earliest. Thereafter, despite the Apex Court's expectation of early disposal, the matter travelled through numerous Benches over roughly fifteen months (orders from 5 April 2010 to 7 July 2011) on account of successive adjournments and incomplete pleadings, before finally being heard and disposed of by consent on 20 July 2011, counter and rejoinder affidavits having been exchanged. The petitioner argued that no opportunity was given before concluding unauthorised use and that it was not apprised of its right under Paragraph 5.6 of the U.P. Electricity Supply Code, 2005 to have the meter tested by an independent agency; the Nigam contended that the challenge was premature, that Paragraph 5.6 was inapplicable because this was a case of theft, and that the consumer ought to have replied to the notice instead of rushing to Court and obtaining an interim order.

REUSABLE CONSTRUCTIONS

1. A writ challenge to a provisional assessment notice under Section 126(2) of the Electricity Act, 2003 is premature: the assessee's remedy is to file a detailed objection to the assessing authority, who may modify, confirm or discharge the provisional assessment, and it is not the stage for the writ court to enter into the issues (jurisdiction, Supply Code compliance) raised by the parties. p. p. 5

2. Even objections going to the very competence or jurisdiction to issue a Section 126(2) notice can be raised in, and must be decided by, the assessing authority in the objection process — after notice of a date of hearing and by a reasoned order dealing with each objection — so the High Court may relegate the consumer to that process without itself deciding those objections and without expressing any opinion on the merits. p. pp. 5-6
3. So long as the assessment under Section 126 remains provisional, there is no occasion for coercive recovery; a consumer's apprehension of coercive action before a final assessment is misconceived, so no interim protection is warranted. p. p. 6

HOLDING-UNITS

HOLDING-UNIT · EA2003::126

RATIO

Premature writ challenge to a provisional assessment notice; relegation to the statutory objection process

QUESTION

Should a writ court interfere with a provisional assessment notice under Section 126(2) of the Electricity Act, 2003, or relegate the consumer to file objections before the assessing authority?

HOLDING

The Court declined to interfere. A provisional assessment notice is not the stage for the writ court to examine the consumer's pleas (including want of jurisdiction and non-compliance with the U.P. Electricity Supply Code, 2005). The notice itself afforded an opportunity to reply, and it was open to the consumer to file a detailed objection raising all its pleas, which the authority could modify, confirm or discharge. The petitioner was given liberty to file a detailed objection within fifteen days, and the competent authority was directed to fix a date of hearing and take a final decision by a reasoned order dealing with each objection raised, including the objection regarding competence to issue the notice, the Court expressing no opinion on the merits of any issue. p. pp. 5-6

EVIDENCE *"The assessment being only provisional, the same could have been modified, confirmed or discharged by the authorities themselves. It is not the stage for this Court to enter into various issues raised by the parties."* p. p. 5

EVIDENCE *"the authority competent shall consider the objection and take final decision in the matter dealing with each objection raised therein including the objection regarding competence of issuance of notice"* p. p. 5

FLAG Source is an order-sheet compilation; the operative order dated 20.7.2011 carries printed page numbers (pp. 1-6) — pins are those printed pages.

HOLDING-UNIT · EA2003::126

RATIO

No coercive action pending final assessment; no interim protection needed

QUESTION

Is a consumer entitled to protection against coercive action while only a provisional assessment notice under Section 126 has been issued?

HOLDING

No. Since only a provisional assessment notice had been issued, there was no occasion for any coercive action against the consumer unless and until a final assessment was made; the apprehension of coercive action was therefore misconceived, and the request for interim protection was declined. p. p. 6

EVIDENCE *"since only provisional assessment notice has been issued, at this stage there is no occasion of any coercive action against the petitioner unless final assessment is made, hence the apprehension of the petitioner is misconceived"* p. p. 6

PRINCIPLE TAGS

premature-writ-against-provisional-s126-assessment The Court refused to entertain a writ against a provisional assessment notice under Section 126(2), holding the challenge premature and relegating the consumer to file a detailed objection which the assessing authority could modify, confirm or discharge. Lead authorities: *GKN Driveshafts (India) Ltd. v. Income Tax Officer & Ors.* p. pp. 5-6

objection-to-competence-decided-by-assessing-authority The objection to the very competence to issue the Section 126(2) notice was directed to be raised before, and decided by, the competent authority in a reasoned order after hearing, rather than by the writ court. p. p. 5

occasion for coercive action and declined interim protection. **p. p. 6**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER AN OPPORTUNITY MUST BE GIVEN TO THE CONSUMER BEFORE CONCLUDING THAT THERE HAS BEEN UNAUTHORISED USE OF ELECTRICITY

Petitioner relied on *Ashok Kumar v. State of U.P.* (paras 56 and 58); the Court did not rule on the point, expressly declining to express any opinion on the merits and leaving it to be urged before the competent authority. [897981] **p. pp. 3, 5**

NOT DECIDED — WHETHER PARAGRAPH 5.6 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005 (RIGHT TO HAVE THE METER TESTED BY AN INDEPENDENT AGENCY) APPLIED AND WAS VIOLATED

Petitioner (relying on *Amrawati Devi*) contended it was not apprised of this right; the Nigam contended Paragraph 5.6 was inapplicable as this was a theft case. The Court left the question to the authority. [149862600] **p. pp. 3-4**

NOT DECIDED — WHETHER THE NOTICE WAS WITHOUT JURISDICTION / THE COMPETENCE TO ISSUE THE SECTION 126(2) NOTICE, AND WHETHER THIS WAS A CASE OF THEFT OR UNAUTHORISED USE

Expressly reserved for the competent authority to decide in the objection process; 'we are not expressing any opinion on merits of any of the issues raised by either of the parties.' **p. pp. 4-5**

RELATED CASES — SEE ALSO

SCJ-617 — Allahabad DB likewise declining to interfere with a Section 126 provisional assessment and relegating the consumer to a statutory objection decided under the Act and the Supply Code.

SCJ-782 — Writ against a provisional Section 126 bill dismissed and the consumer relegated to objections against the provisional assessment — same premature-challenge / alternate-remedy line.

SCJ-158 — The Division Bench authority (*Ashok Kumar v. State of U.P.*, 2008 (6) ADJ 660) the petitioner relied on here, digested in the spine — a writ against a Section 126 assessment lies where purely legal / jurisdictional issues arise.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Smt. Amrawati Devi v. Purvanchal Vidyut Vitaran Nigam</i> 2009 (2) AWC 1190 [149862600] Allahabad High Court (DB)	Basis of the interim order dated 28 October 2009 staying the assessment proceedings; also relied on by the petitioner for the consumer's right, under Paragraph 5.6 of the Supply Code, to have the meter tested by an independent agency. Said to have been affirmed by the Apex Court.	Referred as the basis of the earlier interim order and as cited by the petitioner; not applied in the final disposition, which relegated the parties to the objection process. p. pp. 2-3	Petitioner	Referred
<i>Ashok Kumar & Others v. State of U.P.</i> 2008 (6) ADJ 660 (DB) [897981] Allahabad High Court (DB)	Before coming to the conclusion that there has been unauthorised use of electricity, an opportunity is required to be given to the consumer (relied on with reference to paragraphs 56 and 58).	Referred as the petitioner's authority; the Court did not decide the point, leaving it to be raised before the competent authority. p. p. 3	Petitioner	Referred
<i>GKN Driveshafts (India) Ltd. v. Income Tax Officer & Ors.</i> (2002) 125 Taxman 963 (SC) Supreme Court of India	A challenge to a notice for (provisional) assessment is premature; the assessee should file its reply / objection rather than rush to the writ court.	Referred as the respondent's authority; the Court's disposition relegating the consumer to the objection process is consistent with this approach. p. p. 4	Respondent	Referred